

BUS63-9

Investment Philosophies

Value, contrarian, activist, growth, momentum, arbitrage, timing,
passive

Given what we know empirically about how markets work, what kind of investor should
you be?

Albert School — 22 hours

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1 What an investment philosophy is and why you need one

An investment philosophy is a coherent set of beliefs about how markets work and where mispricings arise, from which a consistent investment strategy follows. It builds on the valuation machinery of BUS43-3 and the cost-of-capital and value-creation framework of BUS33-3, but asks a different question: not what a security is worth, but what kind of investor one should be given how markets actually behave.

Definition 1 (Investment philosophy) An *investment philosophy* is a set of beliefs about the source and persistence of market mispricings, together with the strategy that exploits them. It is distinct from a *strategy* (the specific rules for selecting securities) and a *tactic* (a one-off implementation choice).

A philosophy is necessary because it produces consistency across decisions and a defensible rationale when a strategy underperforms. Without one, an investor switches approaches at the worst moments and cannot distinguish a strategy that is failing from one that is merely out of favour.

Matching the philosophy to the investor. The appropriate philosophy depends on the investor's profile:

- *Risk tolerance*: the capacity and willingness to bear volatility and the possibility of loss.
- *Time horizon*: the period over which capital can be committed before it is needed; strategies that rely on reversals or convergence require patience.
- *Tax status*: the investor's tax treatment, which determines how much of a gross return survives as a net return.

2 Market efficiency

Every philosophy is, implicitly, a bet against some form of market efficiency. The Efficient Market Hypothesis (EMH) states that prices reflect available information, so that consistently earning excess returns is difficult.

Definition 2 (The three forms of the EMH)

- *Weak form*: prices reflect all information contained in past prices and volumes; technical analysis cannot produce excess returns.
- *Semi-strong form*: prices reflect all publicly available information; neither technical nor fundamental analysis of public data can produce excess returns.
- *Strong form*: prices reflect all information, public and private; not even private (inside) information can produce excess returns.

Testing a strategy. Whether a strategy beats the market is an empirical question, addressed with two main approaches:

- An *event study* measures the abnormal return — the return in excess of what a benchmark predicts — around a specific information event, to see whether and how fast prices react.
- A *portfolio approach* forms portfolios on a characteristic (e.g. low P/E) and compares their risk-adjusted returns over time.

Common pitfall Backtests routinely overstate live returns. Two recurring causes:

- **Survivorship bias**: a universe that includes only firms (or funds) that survived to the present omits those that failed, inflating measured returns.
- **Data-mining**: testing many strategies on the same history guarantees that some appear profitable by chance; such patterns do not persist out-of-sample. Transaction costs, ignored in most backtests, erode the rest.

3 Value investing

Value investing buys securities trading below an estimate of their intrinsic worth, relying on the gap to close.

Definition 3 (Margin of safety) The *margin of safety* is the discount of price to estimated intrinsic value. A large margin protects the investor against errors in the valuation and against adverse developments.

- **Graham's principles.** Benjamin Graham screened for statistically cheap securities — low price relative to earnings, assets, or net working capital — bought with a margin of safety and held until the gap closed.
- **Buffett's evolution.** Warren Buffett moved from Graham's purely statistical cheapness toward paying a fair price for high-quality businesses with durable competitive advantages.

Screening. Value strategies screen a universe on cheapness multiples — low P/E, low P/B, high dividend yield — and then filter for quality.

Common pitfall A **value trap** is a stock that is cheap because its business is deteriorating, not because the market has mispriced a sound business. The cheapness is justified, and the gap never closes. Distinguishing a value opportunity from a value trap is the central judgment of value investing, and is why a cheapness screen alone is insufficient.

4 Contrarian investing

Contrarian investing buys what other investors are selling, betting that the market has overreacted.

Definition 4 (Overreaction hypothesis) The *overreaction hypothesis* holds that investors push prices too far in response to news, so that the biggest past losers subsequently outperform and the biggest past winners subsequently underperform, as prices revert.

The canonical contrarian strategy buys the stocks with the worst returns over a prior multi-year window and holds them through the reversal.

Common pitfall Not every fallen price is an overreaction. A price that has dropped because the fundamentals have permanently deteriorated reflects **rational repricing**, not overreaction, and will not revert. The contrarian must distinguish the two, accept that reversals can take years, and budget for the transaction costs of trading illiquid, beaten-down names.

5 Activist investing

Activist investing takes a stake in a company and uses it to force changes that the activist believes will create value.

Definition 5 (Activist investing) An *activist* builds a stake large enough to influence a company and then campaigns to change how it is run — its capital structure, governance, or asset mix — in order to close the gap between the company's current and potential value.

The levers. Activists typically push for:

- *Capital structure*: more leverage, higher dividends, or buybacks to return excess cash.
- *Governance*: board seats, management change, improved incentives.
- *Asset mix*: selling or spinning off underperforming divisions.

Common pitfall Activism does not always create value. When the changes forced on a company — excess leverage, the sale of strategically important assets, or short-term cash return at the expense of investment — weaken the business, activism **destroys** value. The test is whether the campaign closes a genuine value gap or merely extracts cash at the expense of the firm's long-run health.

6 Growth investing

Growth investing buys companies expected to grow earnings rapidly, accepting a higher multiple in exchange for that growth.

Definition 6 (GARP and the PEG ratio) *Growth at a Reasonable Price (GARP)* seeks growth without overpaying for it. The *PEG ratio* relates the P/E multiple to the expected growth rate,

$$\text{PEG} = \frac{P/E}{g},$$

where g is the expected earnings growth rate in percent. A PEG near or below 1 is conventionally read as growth fairly priced.

Growth sustainability. The value of a growth stock depends on how long high growth persists. High growth attracts competition and is hard to sustain, so the durability of the growth — not merely its current rate — is what must be assessed.

Common pitfall Pure growth investing fails when the investor overpays. Paying a high multiple for growth that does not materialise, or that fades faster than priced, is as dangerous as buying a cheap stock that stays cheap. Overpaying for growth and buying a value trap are symmetric errors.

7 Momentum and mean reversion

Returns exhibit different autocorrelation patterns over different horizons.

Definition 7 (Momentum and reversal across horizons)

- *Short-term* (days to weeks): returns show some positive correlation.
- *Medium-term* (3–12 months): *momentum* — past winners continue to win and past losers continue to lose.
- *Long-term* (3–5 years): *reversal* — the pattern reverses, as in the contrarian overreaction hypothesis.

The empirical evidence supports both medium-term momentum and long-term reversal across many markets and periods.

Common pitfall Momentum profits are hard to capture in practice. The trend persists until it abruptly reverses at an inflection point that cannot be identified in advance; much of the paper profit is given back around these turns, and the high turnover of a momentum strategy incurs large transaction costs.

8 Information and trading

This topic asks how fast prices incorporate information and which informational signals survive net of cost.

- **Insider patterns.** Trades by corporate insiders contain information; insider buying tends to precede positive returns. Trading on material non-public information is illegal.
- **Analyst biases.** Sell-side analyst recommendations are skewed toward “buy” and are subject to conflicts of interest, so the raw recommendation is a biased signal.
- **Post-earnings-announcement drift (PEAD).** After an earnings surprise, prices continue to drift in the direction of the surprise for weeks — a documented violation of semi-strong efficiency, as the market reacts to public news only gradually.

Common pitfall An information advantage is only worth exploiting if it survives transaction costs. Many documented signals — including PEAD — are concentrated in small, illiquid stocks where trading costs consume the apparent edge.

9 Arbitrage strategies

Arbitrage exploits price discrepancies, but the term covers strategies with very different risk.

Definition 8 (Three kinds of arbitrage)

- *Pure arbitrage*: identical assets trade at different prices, giving a riskless profit; rare and quickly competed away.
- *Near arbitrage*: assets that should converge (e.g. a stock and its close substitute) trade apart, with *convergence risk* that they fail to converge within the investor's horizon.
- *Speculative arbitrage*: bets that prices *will* converge though convergence is not guaranteed, such as *merger arbitrage* (buying the target and shorting the acquirer, exposed to deal failure).

LTCM. Long-Term Capital Management ran near-arbitrage convergence trades with very high leverage. Leverage magnifies small, measurable spreads into large returns — but when spreads widen instead of converging, the same leverage forces liquidation at the worst time.

Common pitfall Leverage reclassifies an arbitrage as speculation. A trade whose underlying risk is small and measurable becomes, under enough leverage, exposed to **unmeasurable uncertainty**: the chance that the position must be unwound before convergence. LTCM is the case study of measurable risk transformed into unmeasurable uncertainty through leverage.

10 Market timing

Market timing moves capital in and out of the market (or between asset classes) to capture broad moves.

Common pitfall Being out of the market is costly. A large share of long-run equity returns is concentrated in a small number of days; an investor who is out of the market on those days earns dramatically less than one who stays invested. Because the best days cannot be identified in advance and often cluster near the worst days, this is the documented cost of market timing.

Mean-reversion approaches. Some timing strategies use valuation indicators (e.g. an elevated market-wide P/E) to reduce exposure when the market looks expensive and increase it when it looks cheap, relying on long-run mean reversion.

Why most timing strategies fail. Timing requires two correct decisions — when to exit and when to re-enter — and the cost of being wrong (missing the best days) is asymmetric and large. The empirical record shows most timing strategies underperform a buy-and-hold benchmark net of costs.

11 The case for passive investing

Passive investing abandons the attempt to beat the market and instead buys the market at minimum cost.

Definition 9 (Index funds and ETFs) An *index fund* holds the constituents of an index in their index weights, tracking the market at very low cost. An *exchange-traded fund (ETF)* is an index-tracking vehicle that trades intraday like a stock, with creation and redemption keeping its price close to net asset value.

The evidence. On average and net of fees, actively managed funds underperform their benchmark index, and the minority that outperform in one period do not reliably do so in the next. Since active management is, in aggregate, a zero-sum game before costs, it is a losing game after costs.

When active retains an edge. Active management can retain a defensible edge under specific conditions: concentrated, genuine expertise; illiquid or under-researched markets where prices are less efficient; or a specific, sustainable informational advantage. Absent these, the default is to index.

12 Trading costs and taxes

Every strategy's gross return is reduced by costs and taxes, and these drags compound over time.

Definition 10 (Components of trading cost)

- *Bid-ask spread*: the gap between the price to buy and the price to sell.
- *Price impact*: the adverse move a large order causes in the price.
- *Opportunity cost*: the return foregone on trades that are delayed or not executed.

Taxes. Realised gains are taxed; frequent trading realises gains sooner and converts what could be deferred (and compounded) into a current tax bill. A *tax-efficient* strategy defers realisation and favours lower-taxed forms of return.

Common pitfall Costs and taxes are a hidden drag that compounds. A strategy with a high gross return but high turnover can deliver a lower net return than a cheaper, lower-turnover strategy, because each year's cost reduces the base on which all future returns compound. The all-in cost — trading costs, taxes, and management fees — must be subtracted before any philosophy is judged.

13 Constructing a personal investment philosophy

The course terminates in a defended personal investment philosophy. It must be coherent with the investor's risk tolerance, time horizon, and tax status, and grounded in an identified *informational or behavioural edge* — a specific, defensible reason to expect excess returns net of costs — rather than in a preference unsupported by the empirical evidence. The discipline produced is the ability to state what one believes about markets and why, and to defend it.